

cap or multi-cap fund takes that decision away from them, offering a built-in balance. When valuations are stretched in one area, but earnings growth is visible elsewhere, diversified funds automatically capture that mix,” says Rajesh Jayaraman, Head Products, Nippon India Mutual Fund.

From an industry perspective, the shift toward diversified funds signals investor maturity. “As growth cycles normalise and liquidity-driven excesses fade, diversified funds, particularly multi cap and quality-oriented themes, are becoming the cornerstone of portfolios again,” says D.P. Singh, Deputy Managing Director & Joint Chief Executive Officer, SBI MF.

Chasing returns in the past has often hurt outcomes, but the rising adoption of systematic investment plans (SIPs) and the growing hybrid category show that investors now appreciate asset allocation and diversification. Somaiyaa credits recent regulatory steps for improving investor behaviour. “Mandating information ratio disclosure has been a great step. It encourages investors to focus on consistent, risk-adjusted performance, not just one-year alpha. That’s what builds long-term trust.”

Distributors and registered investment advisors (RIAs) are witnessing the same rebalancing. Vishal

Dhawan, Mumbai-based RIA, says investors are becoming more cautious after the volatility in mid and small-caps. “There’s a slowdown in flows into thematic and small-cap funds,” he observes. “Investors are gradually moving toward flexi-cap and large-cap-oriented diversified funds. It’s a sign that risk awareness is increasing.”

Diversified funds have a behavioural advantage. SIPs in diversified categories, especially flexi cap and large & mid cap, have stronger persistence, says Amit Bivalkar, Founder of Sapient Finserv. He believes diversified funds suit almost all investor types from beginners to retirees. These funds are the core of most portfolios and survive downturns. In small-cap or thematic funds, SIP stoppages rise the moment performance dips.

Fund managers and advisors agree that India’s market leadership is becoming fragmented, thus providing a perfect backdrop for diversified strategies. Experts recommend investors blend diversified funds as their core, complemented by some sectoral exposure, for both stability and opportunity. **BT**

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